

HDFC Bank Ltd

Investment Rating : Average

Company Overview

Website	http://www.hdfcbank.com/
Sector	nan
Market Cap	808,359.03 Cr
PE Ratio	49.42
PB Ratio	4.4
Dividend Yield	4.33 %

Financial Quality

ROE	17.1
ROCE	7.67
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Restructuring

Capital Allocation

Capital Score	68.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

HDFC Bank Limited (also known as HDFC) is an Indian banking and financial services company headquartered in Mumbai. It is India's largest private sector bank by assets and the world's tenth-largest bank by market capitalization as of May 2024.

As of April 2024, HDFC Bank has a market capitalization of \$145 billion, making it the third-largest company on the Indian stock exchanges

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 6.81 is elevated for a non-financial company and warrants monitoring.
Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.